

Day 3 — June 10, 2025

Task: Top Startups Research

Objective: From USA, Japan, and China — find the top 10 startups in each region and pick 3 favourites from each.

USA — Top Startups

Top 10 Overview

1. **OpenAI** — AI/LLM (\$500B+ valuation)
2. **Anthropic** — AI/LLM (\$60B+ valuation)
3. **xAI** — AI (\$200B+ valuation)
4. **Databricks** — Data/AI Platform (\$134B)
5. **Canva** — Design Tools
6. **Figma** — Design Collaboration
7. **Stripe** — Payments
8. **Airbnb** (if counted) — Marketplace
9. **SpaceX** — Space Tech
10. **Scale AI** — AI Data Platform

My 3 Favourites

1. OpenAI ★★☆☆

- **Why:** Defined the modern AI era. GPT models changed how we think about language models.
- **Impact:** 500B+ valuation, widely adopted, cultural icon
- **Business Model:** API access + premium products (ChatGPT Plus, Enterprise)
- **Lesson:** First-mover advantage in transformative tech = massive reach

2. Anthropic ★★☆☆

- **Why:** Building safer, more reliable AI. Constitutional AI approach is novel.

- **Impact:** \$60B+ valuation, backed by Amazon, focused on safety
- **Business Model:** API + research-first approach
- **Lesson:** You can be a fast follower and still be massively valuable if you solve a key problem differently

3. Databricks ★★☆☆

- **Why:** Building the data AI infrastructure layer. Generalist platform that scales.
- **Impact:** \$134B valuation, becoming the "spine" of data+AI ops
- **Business Model:** Enterprise software + community (Spark, MLflow)
- **Lesson:** Infrastructure plays pay off when AI becomes mainstream

Japan — Top Startups

Top 10 Overview

1. **Mujin** — Robotics (\$36.2B JPY raised, #1 in 2025)
2. **Mercari** — E-commerce Marketplace (\$1.3B total funding)
3. **Tier IV** — Autonomous Vehicle Software (\$1.25B funding)
4. **GITAI** — Space Robotics
5. **Olive Union** — Smart Hearing Aids
6. **Sagri** — AgTech/Agriculture Software
7. **Cogent Labs** — AI/ML Engineering (\$58M)
8. **Parallel Inc.** — Social Network Gaming
9. **Virtusize** — Fashion Tech (Virtual Fitting)
10. **FiNC** — Health/Wellness Analytics

My 3 Favourites

1. Mujin ★★☆☆

- **Why:** Industrial robotics with a software-first approach. Leader in 2025.
- **Impact:** #1 funded startup in Japan (JPY 36.2B), solving real manufacturing problems
- **Business Model:** Robotics-as-a-service, cloud-based control
- **Lesson:** Japan's strength is hardware + software blend. Mujin nails that.

2. Mercari 🌟🌟🌟

- **Why:** Japan's marketplace giant. 2,000+ team, \$1.3B funding, proven model
- **Impact:** Regional dominance, expanding globally
- **Business Model:** C2C marketplace (like eBay/Poshmark)
- **Lesson:** You can scale massively in Asia without needing Silicon Valley validation

3. Tier IV 🌟🌟🌟

- **Why:** Self-driving car stack. Critical infrastructure for future mobility.
- **Impact:** \$1.25B funding, open-source approach (Autoware)
- **Business Model:** Software licensing + partnerships with automotive OEMs
- **Lesson:** Open-source + enterprise can coexist beautifully. Community + money.

China — Top Startups

Top 10 Overview

1. **ByteDance** — Content/AI (\$millions in revenue)
2. **DeepSeek** — Foundation Models/LLM
3. **Alibaba** — E-commerce/Cloud/AI (Qwen models)
4. **Zhipu AI** — Foundation Models
5. **Stepfun** — Foundation Models
6. **Hugging Face (China presence)** — AI Collaboration
7. **Biren Technology** — Chips/Hardware
8. **Matrixtime Robotics** — Manufacturing Robotics
9. **AccuPulse** — Cardiac Care/Healthcare
10. **FamilyOne** — E-commerce Platform

My 3 Favourites

1. ByteDance 🌟🌟🌟

- **Why:** TikTok's parent. Defined short-form video globally.
- **Impact:** Massive influence, billions of users, AI-driven recommendation engine
- **Business Model:** Ads + Content + Emerging AI products
- **Lesson:** Recommendation algorithms are the real moat. If your feed is better, you win.

2. DeepSeek ★★ ★

- **Why:** Open-source LLM alternative to Western models. Proving China can lead on AI.
- **Impact:** Disrupting the proprietary LLM narrative, very efficient training
- **Business Model:** Open-source + potential API/services
- **Lesson:** You don't need the biggest budget to be competitive. Efficiency matters.

3. Alibaba ★★ ★

- **Why:** Qwen models are the most-downloaded LLMs on Hugging Face (2025-2026).
- **Impact:** Shifted the conversation: open-source from China is now competitive
- **Business Model:** Cloud services + AI models + e-commerce synergy
- **Lesson:** Diversified companies can leverage multiple business lines to win in AI

Comparative Insights

Region	Strength	Favourite	Valuation	Key Advantage
USA	Foundational AI (models, algorithms)	Anthropic	\$60B+	First-mover, best talent, capital
Japan	Hardware + Software blend, robotics	Mujin	JPY 36.2B	Manufacturing excellence, precision
China	Scale, efficiency, open-source	DeepSeek	(Undisclosed)	Rapid iteration, cost-efficiency

Personal Reflections

1. **USA trend:** The race is vertical AI + safety. Every new AI startup is trying to own a vertical (medical, legal, etc.) or solve alignment.
2. **Japan trend:** Robotics + hardware is not dead—it's evolving. Mujin's cloud-first approach is the future of manufacturing.
3. **China trend:** Open-source AI from China is legitimately competitive. The narrative of "proprietary Western models dominate" is shifting.
4. **For my e-commerce app:** I could learn from:

- **Mercari's** marketplace model (community-driven)
- **ByteDance's** recommendation algorithm thinking
- **Alibaba's** multi-service approach (sell platform + infrastructure)

Next Steps

- ☐ Map these strategies to my e-commerce app roadmap
- ☐ Identify which region's approach best fits my market
- ☐ Deep-dive into Mercari's IPO filings (they went public)

Individual Work: E-Commerce App Validation

My Idea

Used Products Marketplace for Students + Non-Students

- **What:** Global marketplace for buying/selling used goods (textbooks, appliances, furniture, gadgets)
- **Who:** Students (primary), non-students (secondary) on tight budgets
- **Problem:** Students need affordable textbooks (\$200+ new), appliances, furniture. Non-students want to sell clutter. Current platforms (eBay, Facebook, Craigslist) are unsafe, slow, clunky.
- **Why Now:** Cost-of-living crisis + budget constraints forcing people to buy used. No student-first marketplace exists globally.

4 Filters Validation

Filter 1: PAINFUL ✓

Question: Is this problem painful enough people will pay to solve it?

- Students spend ~**\$1,200/year** on textbooks alone (mostly one-time use)
- Textbooks cost 200 — 300 *new* **, *resell for* ** **50-100** (waste)
- Laptops, printers, desks cost **\$200-800 new**; students need them desperately

- **Pain Level:** HIGH — Budget constraint is real and acute

Evidence:

- Mercari (1.3*B funded*), *Vinted* (8.8B valued), Poshmark all prove demand
- Students will drive 1 hour to save \$50 on used textbooks

Filter 2: FREQUENT ✓

Question: Does this problem happen regularly?

- **Semester cycles:** Students buy/sell every 3-4 months
- **Course material changes:** New editions yearly force replacements
- **Moving seasons:** Dorm changes, graduations, relocations (3-4x/year per cohort)
- **Time-bound peaks:** Aug (back-to-school), Jan (New Year), May (end of semester)

Frequency: VERY HIGH — Not one-time. Recurring every semester.

Filter 3: LARGE ENOUGH ✓

Question: Is the market big enough to build a company?

- **Global student population:** 280 million
- **Adults buying/selling used goods:** 2+ billion
- **Used goods market:** \$400+ billion globally
- **Textbook market alone:** \$50 billion/year
- **Regional proof:** Mercari, Vinted, Poshmark all scaled to billions

Market Size: MASSIVE — Easily \$10B+ addressable market

Filter 4: UNDERSERVED ✓

Question: Is this gap actually underserved?

Platform	Strength	Gap
eBay	General, big audience	Messy, not student-optimized
Facebook Marketplace	Local, community	No ratings, unsafe, unreliable
Craigslist	Simple	Dangerous, unmoderated, dead
Mercari	Trusted, clean	Japan-first, slow global expansion
Poshmark	Community, trust	Fashion-only, not books/appliances
Vinted	Growing, EU-strong	Fashion-centric, expanding slowly
OfferUp	Mobile-first	Cluttered, not niche-focused

Gap: No player owns "global, student-first, multi-category used goods marketplace with trust + community"

Result: YES — UNDERSERVED. The category is wide open.

All Filters Pass?  YES → READY FOR BUILD

Your idea passes all 4 filters. It's a real problem worth solving.

5 Whys: Root Cause Analysis

Why #	Question	Answer
Why 1	Why do students struggle?	Limited budgets but need expensive textbooks, laptops, furniture upfront
Why 2	Why limited budgets?	Tuition + housing + food consume most income. Can't afford new at \$200+
Why 3	Why are textbooks so expensive?	Publishers control pricing; new editions yearly prevent used market competition

Why #	Question	Answer
Why 4	Why don't students sell their stuff?	Existing platforms (Facebook, eBay, Craigslist) are hard, unsafe, time-consuming
Why 5	What's the root problem?	Friction + Trust Gap: No safe, easy, community-driven marketplace for student-to-student used goods

Problem Statement

For: Students and budget-conscious non-students

Who: Need affordable access to textbooks, appliances, furniture, electronics

The Problem: Current marketplaces (eBay, Facebook, Craigslist) are fragmented, unsafe, slow, and not designed for the student community

The Impact: Students overpay for single-use textbooks, delay purchases, or go without. Sellers struggle to reach buyers. Trust is low.

A Successful Solution Would: Be student-first, mobile-optimized, have verified users, instant messaging, safe payments, and community-driven (reviews, ratings, moderation).

In One Sentence: *A global, student-first used goods marketplace where buying and selling textbooks, appliances, and furniture is as easy and safe as buying on Amazon.*

Key Learnings from Startups

- **From Mercari:** Build trust through ratings + moderation. Community > scale.
- **From Vinted:** Mobile-first design. Gen Z wants 1-tap checkout.
- **From Poshmark:** Community features (shares, comments, "love") drive stickiness.
- **From ByteDance:** Algorithm drives discovery. If recommendations work, retention soars.
- **From Alibaba:** Offer complementary services (escrow, shipping labels, insurance).

Next Phase

- ☐ Validate with 10 students: "How much would you pay for 1-click textbook selling?"

- ☐ Map GTM: Which cohort to launch with? (First-year students, entire campus, city?)
- ☐ Wireframe MVP: Mobile app or web-first?
- ☐ Tech stack planning: Based on Mercari/Vinted analysis